

Regular Multiple-Choice

1. Percentage-of-Completion Method

Which of the following statements is **true** under the percentage-of-completion method?

- A. Revenue is recognized only when the contract is finished.
 - B. Percent complete is based on costs incurred to date ÷ total estimated costs.
 - C. Percent complete is based on billings ÷ total estimated costs.
 - D. Only cash collected determines revenue recognition.
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2. Cash and Cash Equivalents

Which of the following **would be** classified as a cash equivalent at year-end? (Select all)

- A. 60-day Treasury bill purchased on December 1.
 - B. Commercial paper maturing in 45 days.
 - C. 6-month certificate of deposit purchased on October 1.
 - D. Money market fund with check-writing privileges.
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3. Allowance for Doubtful Accounts

Under the **Allowance Method**, what is the impact on total assets when a specific customer's account is written off?

- A. Assets increase.
 - B. Assets decrease.
 - C. No change to total assets.
 - D. Net income decreases.
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4. Gross vs. Net Method (Sales Discounts)

Under the **net method**, if a customer fails to take the discount, what account is credited when payment is received?

- A. Sales Revenue
 - B. Sales Discounts Forfeited
 - C. Accounts Receivable
 - D. Interest Revenue
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5. Revenue Recognition – Sales Returns

If a company expects **8% of sales** to be returned, GAAP requires that:

- A. Revenue is recorded only after the return period ends.
 - B. Revenue is reduced at the time of sale and a refund liability is recorded.
 - C. Returns are ignored until actual returns occur.
 - D. Only cost of goods sold is adjusted.
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6. Factoring with Recourse

When a company factors accounts receivable **with recourse**, which account is recognized?

- A. Recourse Liability
 - B. Accounts Payable
 - C. Receivable from Factor
 - D. Sales Discount
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7. Sales Discounts – Net Method

If a company uses the **net method** and a customer pays after the discount period, the company will:

- A. Credit Sales Discount Forfeited (revenue)
 - B. Debit Sales Discount
 - C. Credit Accounts Receivable for less than the invoice amount
 - D. Record a loss
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8. Notes Receivable – Classification

On the balance sheet, **Discount on Notes Receivable** is classified as:

- A. An asset that increases the carrying value
 - B. A liability
 - C. A contra-asset that reduces the carrying value of the note
 - D. Deferred interest revenue
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9. Estimating Bad Debts – % of Receivables

When estimating uncollectibles based on a **percentage of receivables**, the estimate represents:

- A. The desired ending balance of the allowance account
- B. The period's bad debt expense
- C. Accounts expected to be written off next year
- D. Cash expected to be collected

Numeric Multiple Choice:

10. Percentage-of-Completion Method

Cascade Construction signs a **\$12,000,000** contract expected to cost **\$9,000,000** total. At the end of Year 1, **\$2,700,000** of costs are incurred and **\$9,000,000** total cost is still estimated.

What amount of revenue should be recognized in Year 1?

- A. \$3,600,000
 - B. \$2,700,000
 - C. \$4,000,000
 - D. \$9,000,000
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11. Cash & Cash Equivalents

On December 31, a company has:

- Petty cash: \$2,000
- 90-day Treasury bill purchased Dec 10: \$10,000
- 6-month certificate of deposit purchased Nov 1: \$15,000
- Restricted cash for future plant expansion: \$5,000

How much should be reported as Cash and Cash Equivalents?

- A. \$12,000
 - B. \$15,000
 - C. \$17,000
 - D. \$32,000
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12. Sales Discounts – Gross Method

A company sells \$20,000 of goods on **Dec 1** with terms **2/10, n/30**, using the **gross method**. Half the invoice is paid **Dec 8** and the remainder **Dec 29**.

What is total cash received?

- A. \$19,800
 - B. \$19,900
 - C. \$20,000
 - D. \$19,600
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13. Allowance for Doubtful Accounts

At year-end, A/R = \$120,000 and Allowance (credit) = \$5,000.

A company estimates **4%** of A/R will be uncollectible.

What is Bad Debt Expense?

- A. \$4,800
 - B. \$200
 - C. \$-200
 - D. \$9,800
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14. LIFO Inventory – Perpetual

Trailhead Co. uses the **LIFO perpetual inventory method**. The following data are available:

Date	Transaction	Units	Unit Cost/Sale Price
Jan 1	Beginning inventory	100	\$10
Mar 5	Purchase	200	\$12
Jun 10	Sale	150	(sold at \$20 each)
Oct 20	Purchase	100	\$14
Dec 15	Sale	100	(sold at \$22 each)

Question: What is the **ending inventory cost** at year-end?

- A. \$1,400
 - B. \$1,600
 - C. \$1,800
 - D. \$2,000
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15. LIFO Liquidation

Beginning inventory:

- 100 @ \$20
- 200 @ \$25

Current replacement cost = \$30.

Company sells 250 units and makes no purchases during the year.

Increase in gross profit due to LIFO liquidation?

- A. \$0
- B. \$500
- C. \$1,500
- D. \$1,000

16. Notes Receivable – Present Value

A company receives a **3-year, \$50,000** note with **5% stated interest** and a **market rate of 8%**, interest paid annually.

What is the present value of the note? (No calculation needed)

- A. \$50,000
- B. \$46,300
- C. \$53,500
- D. It is impossible for it to be any of these answers.

17. Sales Returns Estimate

A company sells \$400,000 of goods and expects **5%** to be returned. The cost of goods sold is **60% of sales**.

What are the adjustments at the time of sale?

- A. Decrease Revenue \$20,000; Increase Refund Liability \$20,000
 - B. Increase COGS \$12,000
 - C. Increase Inventory \$12,000
 - D. Record no entry until returns occur
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18. Factoring Receivables

A company sells \$200,000 of receivables to a factor.

Factoring fee = 4%; holdback = 6%.

How much cash is received?

- A. \$180,000
- B. \$188,000
- C. \$180,000
- D. \$190,000

19. LCM (Lower of Cost or Market)

Inventory cost = \$90,000; Market = \$84,000.

What is the adjustment?

- A. Debit Loss on Inventory \$6,000; Credit Inventory \$6,000
- B. Debit Inventory \$6,000; Credit Loss on Inventory \$6,000
- C. No adjustment
- D. Record unrealized loss in OCI

20. Notes Receivable – Gain on Sale of Asset

A company sells equipment (cost \$50,000, accumulated depreciation \$35,000) in exchange for a **\$20,000 note bearing 6%**, when the market rate is **10%**.

The fair value of the equipment is **\$17,000**.

What gain or loss is recorded?

- A. \$0
- B. Gain \$2,000
- C. Loss \$2,000
- D. Gain \$3,000

Six Long Paper Problems

1) Long-Term Contracts — % of Completion (Year 2)

Data: Fixed-price contract = **\$9,000,000**

Cumulative costs: Y1 **\$1,350,000**; Y2 **\$4,050,000**.

Total estimated cost: Y1 = **\$7,500,000**, Y2 = **\$6,750,000**

Billings to date Y1 = \$2.4M; Y2 = \$2.7M.

Required (Year 2):

a) Find **Y1** revenue, **cumulative** revenue, **Y2** revenue.

b) B/S presentation at 12/31/Y2: **CIP and Billings**.

2) A/R & Allowance — Write-off + % of Receivables

Data (12/31): A/R (gross) **\$240,000**; Allowance **\$9,000 credit**.

Company estimates **6% of ending A/R** uncollectible.

Required:

a) Adjusting entry for Bad Debt Expense.

b) A/R, **net** at year-end.

3) Sales Discounts — Gross vs Net (Partial Early)

Data: On March 1, Harbor Co. invoices **\$1,200** at **2/10, n/30**.

Customer pays **\$600 on Mar 8** (within discount) and **\$600 on Mar 25** (after).

Required: Journal entries under:

a) **Gross method** (Mar 1, 8, 25).

b) **Net method** (Mar 1, 8, 25).

4) Notes Receivable + Noncash Sale (FV unknown → use PV)

Data (1/1): Peak Co. sells equipment (Cost **\$90,000**, Acc. Dep. **\$68,000**).

Receives **2-yr, \$50,000** note, **7% stated**, interest annually; **market 10%**. FV of equipment is **\$47,394**.

Required:

a) Initial measurement of note and **discount**.

b) Gain/Loss on sale.

5) Inventory — LIFO Perpetual

Date	Activity	Units	Unit Cost
Jan 1	Beginning	150	\$16
Apr 5	Purchase	200	\$18
Jul 10	Sale	220	—
Oct 20	Purchase	120	\$21
Dec 15	Sale	100	—

Required: Compute the **ending inventory cost** using **LIFO perpetual**.

6) Factoring with Recourse — Cash, Holdback, Loss

Data: Ridge Co. sells **\$300,000 A/R with recourse**; qualifies as a sale.

Fee = **4%**; Holdback = **8%**; Recourse liability (FV) = **\$6,000**.

Required:

Record the JE at transfer.